

1. Executive Summary

RECOMMENDATION: BUY

Current Price: \$76.17 (as of model date 11/28/25); \$74.08 (as of today 12/2/25 2:21PM¹)

Target Price Per Share: \$73.20 (FCFE); \$81.70 / 107.94 (FCFF/WACC)

While FCFE suggests a fair value, we do not rely on FCFE as our primary valuation method due to e.l.f.'s highly volatile capital structure: frequent revolver draws/repayments and acquisition-driven debt. FCFF/WACC neutralizes financing noise and captures the underlying operating value of the business. Our FCFF-derived valuation range \$81.70-\$107.94 sits well above the current market price, indicating that e.l.f. is trading at a clear discount to intrinsic value. → **BUY**

Company Overview:

e.l.f. Beauty, Inc. is a holding company offering inclusive, accessible, clean, vegan, and cruelty-free cosmetics and skincare. The company operates through e-commerce, national retailers, and international channels, supported by a growing multi-brand portfolio including e.l.f., e.l.f. SKIN, Naturium, Well People, and Keys Soulcare. Founded in 2004 and headquartered in Oakland, CA, e.l.f. has become one of the fastest-growing beauty companies in the U.S.

Highlights in Analysis: below are the most important drivers behind our final recommendation

- 1) **Industry Analysis** - Strong Industry, Rising Competition [**BALANCED RISK-AWARD**]
The beauty industry offers durable, long-term growth driven by value-seeking consumers, social commerce, and skincare momentum. However, competitive intensity is increasing from both legacy giants and digital-native brands.
- 2) **Strategy Analysis** - Scalable Model but Execution-Dependent [**STRONG LT POTENTIAL**]
e.l.f.'s asset-light structure, 13-week innovation cycle, and creator-led marketing engine create a genuine competitive advantage. Strategic levers (Rhode, Naturium, international, skincare) offer significant upside.
- 3) **Accounting Analysis** - Asset-Light Model, Goodwill Risk [**MODERATE RISK**]
The balance sheet reinforces e.l.f.'s model: low PP&E, low capex, strong cash, and manageable leverage. But a high portion of assets comes from goodwill and intangibles tied to acquisitions.
- 4) **Financial Analysis** - Strong Margins, Solid Liquidity, Moderate Leverage [**STRONG BUT NOT UNDERVALUED**]
e.l.f. shows high gross margins, healthy liquidity, and solid returns, but with slight margin

¹ Source: Yahoo Finance. "e.l.f. Beauty, Inc. (ELF) — Analyst Insights." Accessed December 2, 2025.
<https://finance.yahoo.com/quote/ELF/analyst-insights/>

compression due to reinvestment and higher interest from recent acquisitions. Inventory has also risen.

- 5) **Forecasting & Valuation** - High yet Normalized Growth [**UNDERVALUED ON FCFF**]
Forward expectations include full-year Naturium, Rhode contributions, continued market-share gains, and fading hypergrowth. Margins trend up, but not dramatically. Working capital and D&A spike during integration.

2. Industry Analysis

Competition within the Industry

- The U.S. beauty industry is highly competitive, with established multinational corporations dominating the market, including L'Oréal S.A., The Estée Lauder Companies Inc., Procter & Gamble, Unilever, Coty Inc., Shiseido, and Revlon.
- These key players utilize extensive R&D, broad distribution networks, celebrity collaborations, and product diversification spanning mass market to luxury segments.
- There is increasing competition from agile direct-to-consumer (DTC) brands and social-commerce disruptors, which appeal to Millennials and Gen Z consumers using digital platforms and influencer marketing.
- The prestige (luxury) beauty segment is growing modestly, with sales rising around 2-7%, while the mass market beauty segment grows around 3-4%.

Competition from Outside the Industry

- Competition outside the industry comes from wellness and personal care segments overlapping with beauty, such as supplement brands, wellness apps, and lifestyle companies focusing on holistic well-being.
- Retailers expanding into beauty via private label products and e-commerce platforms also create cross-industry competitive pressures.
- Tech companies building AI-driven personalized beauty recommendations and service experiences are disrupting traditional sales channels.

Industry Structure & Key Players

- The industry features moderate consolidation dominated by a handful of multinational corporations with strong brand equity and portfolio diversity.
- Key players: L'Oréal S.A., Estée Lauder, Procter & Gamble, Unilever, Coty, Shiseido, and Revlon.
- Specialty retail chains (Sephora, Ulta) and large e-commerce channels are important distribution channels.
- Emerging brands focus on clean beauty, natural and organic products, and direct-to-consumer sales to target niche and younger audiences.

Primary Performance Metrics

- Sales growth rates (prestige vs mass market segments)

- Market share by brand and category
- Customer base expansion, including demographic penetration (Millennials/Gen Z)
- Product innovation and launch success rates
- Marketing metrics: digital engagement, conversion rates, influencer impact
- Operational KPIs: inventory turnover, fulfillment accuracy, return rates, customer satisfaction scores.

e.l.f. Beauty demonstrates strong financial positioning with a market capitalization of \$47.4 billion and an enterprise value of \$54.0 billion as of September 30, 2025. Its trailing EBITDA stands at \$1.91 billion on \$13.86 billion in sales, yielding an EV/EBITDA multiple of 28.24x, above the peer median of 14.05x. Margins are robust, including a gross margin of 66.5%, EBITDA margin of 13.8%, and net margin of 5.9%, with forward projections showing expansion to 70.4%, 19.9%, and 11.3% respectively.

Key Success Factors

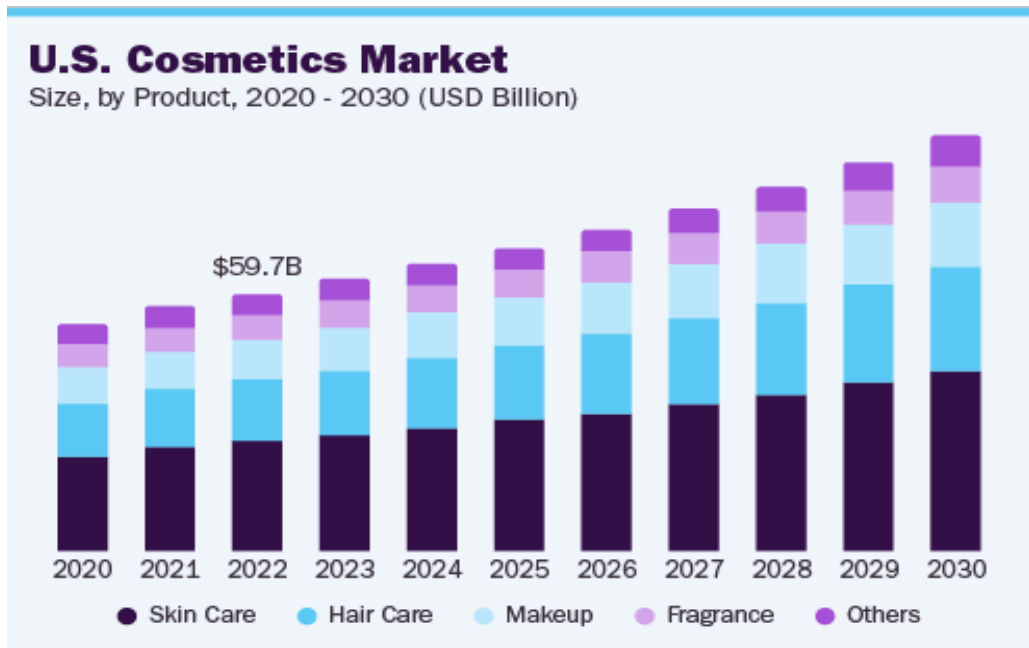
- Innovation in product formulations, especially natural, organic, multifunctional, and clean beauty products
- Strong brand equity combined with digital and influencer marketing prowess
- Robust, multi-channel distribution including direct-to-consumer and e-commerce
- Ability to adapt quickly to consumer trends, preferences for sustainability and wellness
- Strategic acquisitions to expand capabilities and demographics reach
- Dermatologist endorsements and clinically proven product efficacy.

High gross margins at 66.5% actual and 70.4% NTM outperform most peers like Coty (61.5%) and position e.l.f. as a cost-efficient leader in beauty. Elevated valuation multiples, such as 38.73x EV/EBIT and 54.33x FY1 P/E, reflect market confidence in sustained profitability and growth potential versus averages. Strong balance sheet with \$1.94 billion in cash and low debt supports strategic flexibility in a competitive sector.

Key Risk Factors

- Volatility in input prices (raw materials, packaging) with recent moderate inflationary pressures impacting margins
- Rising competition from new entrants and disruptive digital-native brands
- Regulatory changes affecting product ingredients, safety, and labeling
- Changing consumer preferences that may reduce demand for traditional beauty products
- Supply chain disruptions are impacting availability and cost
- Market saturation and intense price competition, especially in mass market segments.

Stock price has declined sharply, trading at 76.66 versus a 52-week high of 150.99, down 49% from peak, with negative 3-month returns of -37.24%. Premium multiples (e.g., 28.24x EV/EBITDA vs. peer median 14.05x) indicate vulnerability to earnings misses or sector slowdowns. Elevated beta of 55.18 to local index signals high volatility compared to stable peers like Procter & Gamble (2.32)



Direct customer base metrics are unavailable in the data; however, robust sales of \$13.86 billion and projected growth (3.90x EV/Sales FY1) suggest effective market penetration in cosmetics. Forward sales outlook supports expansion, aligning with e.l.f.'s premium positioning above peers like Waldencast

- Trends in input prices

No explicit input price data appears; stable-to-improving gross margins (66.5% to 70.4% NTM) imply controlled cost pressures relative to revenue growth. Peer comparisons show e.l.f. maintaining superior margins versus Coty and Estee Lauder, indicating effective supplier negotiations

- Consolidation trends

Comps table highlights industry fragmentation with varied EV scales from \$4.8 billion (Waldencast) to \$38.5 billion (P&G), but no M&A events noted. e.l.f.'s \$54.0 billion EV positions it mid-tier, potentially attractive for scale-driven deals amid peers' debt loads (e.g., Coty \$44.4 billion)

3. Company Analysis

[Below sections are based on the Company's Investor Relations page, SEC Filings², 10K, FactSet³]

3A. Strategy Analysis

² Source: e.l.f. Beauty Investor Relations – SEC Filings. Retrieved from <https://investor.elfbeauty.com/stock-and-financial/sec-filings>

³ Source: FactSet Research Systems, Company Financials & Market Data (accessed December 2025).

Firm's Strategy (What it is)

As per the firm's FY2025 10-K, e.l.f. Beauty's current ongoing strategy is underpinned by five pillars:

- **Affordable Prices (Value Proposition):** Offers quality products at low and affordable prices compared to other prestige brands, which are priced highly. 6.50 a piece for their product, 9.50 for other mass brands, and \$20 for prestige. They maintain these low prices through an asset-light supply chain model. By outsourcing manufacturing primarily to third-party suppliers in China rather than owning capital-intensive factories, they minimize fixed overhead costs, allowing them to pass savings to consumers.
- **Product Innovation:** Quick in innovating products at an accessible price, especially those sold by prestige brands at higher prices. Their speed is enabled by their "fast beauty" operational model. Because they do not own manufacturing facilities, they can rapidly switch suppliers and production lines to chase trends, bringing products from concept to market in as little as 13 weeks, compared to the industry average of nearly a year.
- **Digital Engagement:** Attract customers via digital and social media. Also uses TikTok Shop. They want customers to scroll and shop. Their focus is on social storytelling, creators, and authenticity, which continue to drive outsized engagement and ROI.
- **Productivity Model:** Uses insights from its D2C e-commerce site to optimize product assortment and increase productivity.
- **High Employee Engagement:** Employees receive bonuses and stock awards tied to the company's financial performance, leading to a higher than average employee engagement rate.

Strategic Initiatives:

- **Tariff Mitigation:** Countering China exposure via a global \$1 price increase, supply chain diversification, and operational optimization.
- **Rhode Integration:** Leveraging e.l.f. 's scale to boost Rhode's 20% aided awareness (a massive growth runway compared to its current "cult" following) and executing its Sephora launch.
- **Global & Skincare:** Targeting international markets (currently <19% of revenue) and expanding the skincare portfolio beyond traditional makeup.

Looking ahead, their strategy is to **continue their innovation streak, expand globally, scale skincare, lead in digital engagement**, and deliver strong, profitable growth year after year.

Primary Success Factors

- **Lowest Mass-Market Price & Defensible Gap:** e.l.f. sells "prestige-like" quality at mass prices. Their willingness to take only rare, modest price actions (a \$1 lift in Aug. 2025) while keeping ~75% of SKUs ≤\$10 helps protect unit velocity. Even after a \$1 increase, the price gap vs. competitors remains massive (e.g., \$7.50 vs \$20+ for prestige). We believe this minimizes the adverse effect on the business because consumers trading down from prestige will still view e.l.f. as a significant value, creating inelastic demand at this price point.

- **Structural High Gross Margins:** e.l.f. is **not** settling for lower profit margins to achieve low prices. In fact, they have a structural advantage. As per the FY2025 10-K, Gross Margin reached **71.2%**, which is best-in-class for the mass category. Their asset-light model allows them to offer low consumer prices while retaining high corporate profitability.
- **Fast Dupe Creation (Operationalized Innovation):** CEO points out its first-to-mass quality where e.l.f. is quick to innovate dupes of premium brands as a repeatable operational strength (e.g., Power Grip Primer, Halo Glow extensions; new SPF 50 Skin Tint).
- **High-ROI Digital Marketing:** Marketing spend at 24% of sales ensures high digital engagement is maintained. They perform very well on TikTok and creator-led hype. Given the increasing usage of social media among consumers, this type of marketing will grossly help their sales.
- **Company Culture:** The “One-team” equity for all employees and a 90% engagement score are unusual for CPG and will likely help execution quality.
- **Portfolio Expansion and International Runway:** With incredibly popular brands like Rhode, international expansion and portfolio expansion will become easier. It also diversifies them into a brand that is more premium (Rhode) and reduces their mass market identity. Rhode also promises higher margins because of its premium positioning.

Primary Strategic Risks

- **Tariffs + Production in China Risk:** Majority of production is currently done in China, where inventory is subject to tariffs as high as 170% (under extreme trade scenarios), significantly reducing margins. If Tariffs affect overall profits, it will reduce e.l.f.'s ability to invest properly in future growth strategy. Even if they fight tariffs by diversifying their supply chain, it may lead to costs that reduce the bottom line required for future growth.
- **Customer Drop-Out Risk:** Key customers - Target/Walmart/Ulta/Amazon - occupy a large share of their revenue (63% combined in FY25). They cannot afford to lose even one partner.
- **Increasing Competition:** Legacy giants (e.g., L'Oréal, Estée Lauder, Shiseido) + indie/celebrity brands crowd the shelf and feed; promo cycles and “dupe wars” can compress gross margin or raise Customer Acquisition Costs (CAC).
- **Reputation Risk:** Any quality, safety, or claims issue can escalate quickly on social media.
- **M&A Integration:** Scaling Rhode (and future deals) requires tight integration, continued founder engagement (Hailey Bieber), and disciplined spend. The CEO explicitly flags integration risk and dependence on key personalities.

Sustainability of the Strategy

Medium-Term Visibility (Highly Sustainable)

We view the strategy as highly sustainable in the medium term (3–5 years). With **26 consecutive quarters** of share gains, e.l.f.'s growth is structural rather than cyclical. Legacy competitors struggle to replicate e.l.f.'s 13-week innovation cycle due to their heavy, vertically integrated

supply chains. Additionally, Rhode's current low brand awareness (20%) represents a tangible revenue multiplier, not a weakness.

Key Management Forecasts (The Path to \$3B)

Management's quantitative outlook supports this view of sustainability:

- **Revenue:** Targeting \$3B in net sales (up from \$1.3B) over the medium term, driven by three under-penetrated levers: color cosmetics, skincare, and international markets.
- **Growth:** Continued double-digit revenue growth potential driven by new product launches.
- **Margins:** Maintaining operating margins in the low 20s, proving the company can scale revenue without sacrificing profitability, even with increased marketing investment.

Long-Term Watch Items

Long-term sustainability depends on navigating tariff volatility and diversifying away from platform concentration (TikTok). The company must prove its "Productivity Model" can scale high-end assets (Rhode) without eroding its low-cost identity.

3B. Accounting Analysis

Analysis of the Balance Sheet

Key line items and their strategic strengths/risks:

1. Cash and Cash Equivalents: E.l.f has ~\$150M in cash and cash equivalents, which reflects its high liquidity and ability to instantly service most of its debt. It is also a good indicator of e.l.f.'s ability to fund marketing, expansion, and acquisitions - whenever a good opportunity arises.
2. Inventory - E.l.f has ~\$187M of cash tied up in inventory, which is pretty high. The inventory turnover ratio comes close to 0.5, which means that e.l.f turns over its inventory only once every 6 months. This also indicates a high risk to operations at e.l.f - given that consumer preferences change frequently and trend-driven beauty products create obsolescence risk. There is also a high chance that a decent chunk of their inventory is marked down for sale next season or during sales periods. They should exercise caution on how they manage inventory, ensuring they only produce the amount that is necessary.
3. Accounts Receivable - Nearly ~\$126M in accounts receivable suggests that e.l.f sells to large retailers such as Target, Walmart, Ulta, and Amazon - but this would rarely be an issue because large retailers would easily pay back receivables without e.l.f having to write any down. Large retailers account for ~63% of revenue (per earlier parts of the 10-K). A risk involved is that a slowdown or stricter payment terms could materially affect cash flow.
4. PP&E - There is only \$28M worth of PP&E accounted in e.l.f's balance sheet - suggesting an asset-light model. Manufacturing is outsourced and they lease their retail spaces instead of owning them, allowing for better returns on invested capital.
5. Intangible Assets and Goodwill - account for \$207M and \$340M in assets - largely due to acquisitions such as Naturium, Keys Soulcare, Rhode. They represent a high percentage of total assets, exposing the company to a minor risk of any acquired brand underperforming - leading to risks of large impairments. However, acquisitions like

Rhode and Naturium are much more likely to pay off in the future and unlikely to be impaired, given high customer attention and loyalty towards the brand.

6. Debt / Long-Term Borrowings - are approximately \$276M are related to acquisitions such as Naturium, which were funded partially through debt. Rhode was also acquired with the help of \$600M in debt financing - not reflected in the balance sheet for now.

Analysis of Income Statement

1. Revenue and cost of sales: a combined look at the sales and COGS shows a pretty high gross margin of 70% - which is prevalent in consumer goods such as makeup. Even though e.l.f sells at a much more affordable price point than other beauty brands, a 70% gross margin is a good indicator.
Another risk with cost of sales is that 25%+ U.S. tariffs on China goods materially raise costs and may require global price increases
2. SG&A: Much of the gross profit (\$935M) is taken away by a high SG&A: ~ (\$777M) - which may indicate heavy spending on marketing and rent. A key risk here is that SG&A being a high percentage of gross margin puts the business at risk when demand slows. \$318.8 million (24% of net sales) spent on marketing & digital in FY 2025.

Analysis of Cash Flow Statement

1. Net cash flow from operating activities - approximately \$133M. A strong retail and e-commerce demand supports cash generation for e.l.f beauty. However, a major risk is that inventory builds before key seasons (holiday, shelf resets) can cause volatile quarterly cash flows.
2. Cash flow from investing activities - is very volatile and is high in periods where a major acquisition was made. FY 2024 saw a net cash outflow of \$274M in acquisition costs. This demonstrates a major risk to cash held in the business because e.l.f often acquires many brands and uses part of the cash to do it - risking their ability to purchase more inventory or increasing their reliance on debt.

Below is an evaluation of whether e.l.f. Beauty's accounting policies reflect the economic reality of the business, based on the 10-K:

1. Revenue recognition: The revenue recognition mostly reflects economic reality because they sell physical products that customers buy at-will without any subscription. Revenue is recognised as soon as a product is sold to an end-consumer or delivered to large global retailers like Target and Ulta Beauty. This is not at all far from reality. The only caveat is that retailers often have chargebacks, markdown allowances, returns, slotting fees, and co-op advertising arrangements that might affect actual revenue. These additional items may be underestimated, especially given the high marketing spend and retailer power.
2. Statements don't currently reflect the Rhode acquisition which would have affected all financial statements - such as long-term debt, goodwill, and cash. This is only because Rhode was acquired this year in 2026. Future financial statement outlook seems positive because of positive synergies with Rhode - where its loyal customers can also contribute to sales for e.l.f's other products in 2026.

3. Goodwill and intangible assets - e.l.f.'s frequent acquisitions create large amounts of goodwill. However, goodwill must always be checked for impairment. Acquisitions pose integration, celebrity-risk, and brand-risk exposures. Beauty brand valuations are volatile; economic useful lives may be shorter than GAAP assumptions. A major risk to goodwill is that the valuation of the acquired company could have been inflated and e.l.f. could have overpaid for the acquisitions, which incorrectly reflect in the company's assets as goodwill - affecting the accounting quality. However, based on research - at least the Rhode acquisition looks like it was reasonably priced. Going forward, analysts should closely examine goodwill, given that impairment can be underestimated.
4. Inventory - accounted in a FIFO fashion. Inventory is stated at the lower of cost and net realizable value. The Company also records a reserve for excess and obsolete inventory. This way of recording inventory shows an honest effort by e.l.f. to show the true value of inventory, especially given that makeup products are fast-moving and can quickly become obsolete when consumer preferences change.
5. COGS - e.l.f. Beauty's COGS does not fully reflect economic reality because it only captures current, realized production costs. The company relies heavily on China-based manufacturing, which exposes it to 25%+ U.S. import tariffs, potential new tariffs, and geopolitical supply-chain risks. These future or unavoidable cost increases are not recorded in COGS until they occur, even though they already affect the firm's true economic cost structure. In addition, temporary freight spikes, capacity constraints, and the long-term cost of diversifying away from China are also economic costs not captured in today's reported COGS, meaning GAAP COGS likely understates the firm's real long-run cost of producing its products.

3C. Financial Analysis

To evaluate the financial health of e.l.f. Beauty for the recent fiscal year 2025 and across the five-year trend, we analyzed key financial ratios in five areas: (1) profitability, (2) per share performance, (3) liquidity, (4) asset turnover, and (5) long-term solvency.

*All numbers calculated based on definition			Years				
Category	Metrics	Definition	31 MAR '25	31 MAR '24	31 MAR '23	31 MAR '22	31 MAR '21
Profitability	Gross profit	Gross margin/sales	71%	71%	67%	64%	65%
	Operating margin	Operating profit/sales	12%	15%	12%	8%	3%
	ROA	Net income attributable to common shareholders + ((1-Tax rate)*Interest expense)+Non-controlling interest in earnings/Average total assets	0.09	0.14	0.11	0.04	6.56
	ROCE	Net income available to common shareholders/Average common shareholders equity	15.97	24.23	17.01	7.48	2.44
Per share	Basic EPS	Net income available to shareholders/Weighted average number of common shares outstanding	1.99	2.33	1.17	0.43	0.13
	Diluted EPS	Net income available to shareholders + income adjustments for dilutive securities/weighted average number of common shares outstanding + weighted-average number of shares issuable from dilutive securities	1.92	2.21	1.11	0.41	0.12
Liquidity	Current ratio	Current assets/Current liabilities	3.1	1.6	2.8	3.0	2.3
	Quick ratio	Cash and cash equivalents + short-term investments + accounts receivable/Current liabilities	1.6	0.8	1.7	1.4	1.3
	Operating cash flow to current liabilities ratio	Cash flow from operations/Average current liabilities	56.22	34.96	117.79	28.21	47.37
Asset turnover analysis	Accounts receivable turnover	Sales/Average accounts receivable	10.5	10.7	10.2	9.1	9.1
	Inventory turnover	COGS/Average Inventories	2.0	2.2	2.3	2.0	2.2
	Accounts payable turnover	Inventory purchases/Average accounts payable	4.9	7.3	7.3	9.6	8.7
Long-term solvency	Liabilities to assets ratio	Total liabilities/total assets	0.39	0.43	0.31	0.37	0.45
	Liabilities to shareholders equity ratio	Total liabilities/Total shareholders equity	0.64	0.76	0.45	0.58	0.81
	Long term debt to long term capital ratio	Long term debt/long term debt+total shareholders equity	0.25	0.20	0.13	0.23	0.29
	Long term debt to shareholders equity ratio	Long term debt/total shareholders equity	0.34	0.25	0.15	0.29	0.41
	Interest coverage ratio (Net income basis)	Net income + Interest expense + Income tax expense + Net income attributable to noncontrolling interests/ Interest expense	11.5	22.7	78.9	65.3	39.0
	Interest coverage ratio (Cash Flow Basis)	Cash flow from operations + Cash payments for interest and income taxes/Cash payments for interest	N/A	N/A	N/A	N/A	N/A

3C.1 Profitability metrics

Looking at the last five years, gross margin stayed high and stable compared with earlier years. This shows that e.l.f. Beauty continues to maintain strong pricing and good cost control. Operating margin decreased slightly from last year but is still much higher than in the earlier period. This might suggest that the company is spending more to support growth, not losing efficiency in its business model.

Return on assets and return on equity also declined a little but remain well above earlier levels. This might mean the company is using more assets as it expands but still earns healthy returns. Overall, profitability appears solid and steady. The main point to watch is how effectively the company's current spending supports future performance.

3C.2 Per share metrics

Both basic and diluted earnings per share were lower than last year's peak but much higher when compared over the five-year period. This indicates strong growth over time. The slowdown this year may not be a major issue, as it could reflect a period of new investments and business activity. However, it is important to watch how activities like compensation or acquisitions affect earnings per share in the future.

3C.3 Liquidity metrics

Short-term liquidity improved compared with last year. The company now holds more quick assets, meaning it relies less on selling inventory to cover short-term needs. Operating cash flow was sufficient to meet obligations, though not as high as in its best year. This likely reflects changes in working capital and continued expansion. Overall, short-term financial stability is strong, and cash generation remains healthy, though it can fluctuate as the company grows.

3C.4 Asset turnover metrics

Receivable turnover remained strong, showing that the company collects payments efficiently. Inventory turnover slowed slightly, meaning products stay longer in storage which might be due to support growth or slower sales in certain areas. This might not be a serious concern yet, but it could affect cash flow if the trend continues. Payables turnover increased, showing that the company is paying suppliers faster, which reduces some cash flexibility. Overall, operations remain efficient, but inventory management and payment timing should be closely monitored.

3C.5 Long-term solvency metrics

Debt levels are moderate. The company's balance sheet shows enough capacity to meet obligations and still borrow if needed. Interest payments are well covered by earnings, although less so than last year, likely due to higher borrowing and interest costs. Because full cash-based data are not available, the ratio based on cash flow is not available. Overall, the capital structure is sound, and the company can continue to fund growth safely as long as it maintains returns higher than the cost of debt.

The overall financial condition in 2025 is positive. e.l.f. Beauty maintains strong margins, steady profitability, healthy liquidity, and manageable debt. The key questions before deciding to buy are whether the company can continue to grow profitably, keep inventory under control, manage supplier payments efficiently, maintain good interest coverage, and ensure acquisitions add real value. If these factors remain favorable, e.l.f. Beauty appears financially strong and well-positioned for the future.

3C.6 Peer comparison

*Numbers for L'Oreal and Estee Lauder taken from factset while e.l.f. calculated			Years				
Category	Metrics	Company	31 MAR '24	31 MAR '23	31 MAR '22	31 MAR '21	31 MAR '20
Profitability	Gross profit	e.l.f.	71%	67%	64%	65%	64%
		L'Oreal	74%	74%	72%	74%	73%
		Estee Lauder	72%	71%	76%	77%	75%
	Operating margin	e.l.f.	15%	12%	8%	3%	11%
		L'Oreal	20%	20%	18%	19%	19%
		Estee Lauder	8%	10%	20%	19%	14%
	ROA	e.l.f.	0.14	0.11	0.04	0.01	0.03
		L'Oreal	0.12	0.12	0.12	0.11	0.08
		Estee Lauder	0.02	0.04	0.11	0.14	0.04
	ROCE	e.l.f.	24.23	17.01	7.48	2.44	7.82
		L'Oreal	20.87	21.88	21.49	17.44	11.86
		Estee Lauder	7.16	18.00	41.04	57.45	16.44
Per share	Basic EPS	e.l.f.	2.33	1.17	0.43	0.13	0.37
		L'Oreal	12.97	12.49	11.19	9.74	7.27
		Estee Lauder	1.09	2.81	6.64	7.91	1.90
	Diluted EPS	e.l.f.	2.21	1.11	0.41	0.12	0.35
		L'Oreal	12.93	12.45	11.15	9.71	7.23
		Estee Lauder	1.08	2.79	6.55	7.79	1.86
Liquidity	Current ratio	e.l.f.	1.6	2.8	3.0	2.3	2.6
		L'Oreal	1.1	1.1	1.0	0.7	1.3
		Estee Lauder	1.4	1.5	1.6	1.8	1.7
	Quick ratio	e.l.f.	0.8	1.7	1.4	1.3	1.5
		L'Oreal	0.8	0.8	0.7	0.5	1.1
		Estee Lauder	1.0	1.0	1.1	1.4	1.3
	Operating cash flow to current liabilities ratio	e.l.f.	34.96	1.18	0.28	0.47	0.92
		L'Oreal	59.14	49.95	45.06	42.17	54.02
		Estee Lauder	41.39	27.74	52.26	68.54	44.02
Asset turnover analysis	Accounts receivable turnover	e.l.f.	10.7	10.2	9.1	9.1	9.1
		L'Oreal	7.0	6.9	6.9	7.0	5.9
		Estee Lauder	9.8	10.3	10.7	11.2	9.4
	Inventory turnover	e.l.f.	2.2	2.3	2.0	2.2	2.3
		L'Oreal	2.5	2.5	2.9	2.9	2.6
		Estee Lauder	1.7	1.5	1.6	1.7	1.7
	Accounts payable turnover	e.l.f.	7.3	7.3	9.6	8.7	7.3
		L'Oreal	1.7	1.8	1.8	1.6	1.6
		Estee Lauder	2.3	2.6	2.7	3.0	2.7
Long-term solvency	Long term debt to long term capital ratio	e.l.f.	20.12	12.90	22.57	29.02	34.24
		L'Oreal	15.96	16.26	12.89	4.21	4.13
		Estee Lauder	59.23	55.95	52.98	54.31	56.52
	Long term debt to shareholders equity ratio	e.l.f.	25.18	14.81	29.15	40.89	52.07
		L'Oreal	21.12	15.57	5.33	4.49	5.57
		Estee Lauder	168.76	157.83	125.44	126.93	182.77

When we compare these ratios with peer companies L'Oréal and Estée Lauder, e.l.f. Beauty shows a strong overall financial position, especially given its smaller size and faster growth stage. In terms of profitability, e.l.f.'s gross margin is slightly lower than L'Oréal and Estée Lauder, which is expected since it operates as a value-oriented brand with more affordable

products. However, keeping margins above seventy percent indicates strong cost control and effective pricing. Its operating margin is lower than L'Oréal's but well above Estée Lauder's, showing that e.l.f. runs an efficient business model despite its smaller scale. Over the past five years, this margin has improved steadily, meaning the company is benefiting from operating leverage as revenue expands. Returns on assets and equity are healthy and close to L'Oréal's level, which shows that e.l.f. uses its capital effectively.

Earnings per share are naturally much smaller in absolute value compared to global leaders, but the growth rate is much stronger. This pattern signals that e.l.f. is still in a fast expansion phase, while its larger peers are in more mature, slower-growth stages.

Liquidity indicators paint a favorable picture. e.l.f. has higher current and quick ratios than both peers, suggesting it is better positioned to cover short-term obligations. Its strong liquidity means it relies less on external financing or inventory sales to meet working-capital needs. However, the company's operating cash flow to current liabilities ratio is lower than L'Oréal and Estée Lauder, implying that it generates less cash per unit of liability.

Operational efficiency also looks solid. e.l.f. collects payments from customers faster than both competitors, as shown by its higher receivable turnover. Inventory turnover is close to L'Oréal's and stronger than Estée Lauder's, indicating effective inventory management. The company's payables turnover is much faster, meaning it pays suppliers more quickly, which supports strong relationships but limits cash flexibility compared with peers that take longer to pay.

From a solvency perspective, e.l.f. carries moderate debt. Its leverage is higher than L'Oréal's conservative structure but far lower than Estée Lauder's heavier borrowing. This balance gives e.l.f. room to finance growth without creating significant financial risk. Interest coverage remains comfortable, showing that earnings are sufficient to handle financing costs.

In general, e.l.f. Beauty compares well to its larger competitors. It combines strong growth with improving profitability, good liquidity, and disciplined balance sheet management. L'Oréal continues to set the standard for long-term stability and efficiency, while Estée Lauder's results show more pressure from debt and slower recovery.

3C.7 Review of financial accounts regarding our investment thesis

All these numbers support the bull case, thus matching our expectations. The company shows strong ratios and positive trends. Gross margin stays high and keeps improving, which tells us the business can sell products at good profitability. Operating margin also stays strong, showing that the company is becoming more efficient as it grows.

In addition, ROA and ROE show healthy returns, meaning the company is using its assets and equity effectively. When we look at the quick ratio and interest coverage, we see a solid financial cushion as the company has enough liquid assets and more than enough earnings to cover its interest payments. Inventory turnover is stable, which suggests growth is happening in a sustainable way.

Overall, these numbers match what we would expect from a brand that is scaling quickly without hurting profitability or putting pressure on the balance sheet which is very supportive of our investment thesis.

On the other hand, after four years of year-over-year improvement, operating margin experienced a small dip in 2025. This is not alarming, but it is worth watching closely and understanding the reasons behind it. Tracking this trend will help confirm whether the business can continue gaining efficiency as it expands.

These financial trends reinforce our BUY recommendation, as e.l.f.'s strong margin structure, efficient working capital, and manageable leverage support the intrinsic value implied by FCFF/WACC.

3D. Forecasting

[below sections used ELF FactSet 10K]

To develop a 5-year forecast for e.l.f Beauty, I begin with historical ratios, evaluate whether past averages are representative of future conditions, and consider changes in efficiency, capacity utilization, technology, and the competitive environment. The forecast also extends some structural trends while adjusting for identifiable events, such as Naturium acquisition (FY24) and Rhode acquisition (FY26).

1. Sales Growth

Historical: From FY23-25, e.l.f. generated exceptionally high growth, averaging 50.9%. This expansion was supported by accelerated market share gains, dramatic distribution expansion across its retail partners Target/Walmart/Ulta, strong digital virality, and Naturium's consolidation in FY24.

Consideration and Changes to Historical Averages:

- ELF continues to take share from the market, but extremely high growth like 70%+ is not sustainable as market share rises
- The company operated without major supply bottlenecks despite rapid scaling, implying headroom for continued growth, especially with Naturium/Rhode integration.
- Strong inventory turns and replenishment cycles indicate ELF can scale without disproportionate working capital drag.

Forecasting: I forecast 45% growth in FY26E, reflecting full-year synergies from Naturium, Rhode onboarding across Sephora + e.l.f. distribution and e.l.f.'s continued strong share capture. I then fade growth to 38% → 35% → 32% → 30%, consistent with diminishing incremental market-share opportunities and sustained but moderating viral + distribution tailwinds.

2. Gross Margins & COGS

Historical: COGS excluding D&A fell from 32.6% → 29.3% → 28.8% of sales, averaging about 30.2%, reflecting scale economies, cost negotiation leverage and higher-margin categories (skincare) gaining share. At the same time, its gross margin improved from 64.4% → 67.8% → 67.9%.

Consideration and Changes to Historical Averages:

- Supplier leverage increased with scale; working capital patterns (higher DPO, stable DSO) support continued improvement.
- Outsourced manufacturing limits capex needs but maintains flexibility in volume.
- e.l.f. is known for rapid concept-to-shelf cycles, improving forecasting accuracy and reducing waste.

Forecasting: Forecast COGS/Sales gradually improves to 28.5% by FY30, with FY26 temporarily higher due to Rhode onboarding. This represents a continued mix shift to higher-margin skincare and controlled promotional activity.

3. D&A / Sales

Historically, this metric has been stable around 3.1%, despite some Naturium-related amortization in FY24 - 25. Forecasting-wise, D&A rises to 4.0% due to the Rhode identifiable-intangible amortization. In long term, it will revert toward 3.2% as asset base stabilizes for e.l.f.

4. SG&A / Sales

Historically, SG&A remained structurally high, about 53% to 56% of sales, and is mainly driven by its marketing strategy. It focuses on marketing intensity, influencer strategy, digital content production and also retail build-outs. Thinking what might have changed, e.l.f. Now competes on price-value differentiation, requiring continuous marketing investment. Its digital-first strategy needs ongoing spend on creator partnerships, paid media and content analytics. There will be some scale leverage exits, but marketing spend rises with brand expansion. Given all of that, I maintain SG&A/Sales near 53.8% in FY26E, gradually improving to 51% by FY30. This reflects modest leverage from broader scale, Rhode's higher-margin DTC mix, and larger fixed-cost base spread across expanding sales. But reinvestment needs prevent dramatic declines.

5. Interest Expense / Sales

Historically, Interest/Sales averaged around 1.05%, rising to 1.31% in FY25 due to Naturium financing and higher interest rates. Some changes are long-term debt increased from \$72M to \$305M post-Naturium acquisition. To forecast, I did 1.20%, reflecting \$600M Rhode debt financing. Future rates are normalized toward the average, as revenue will increase faster than interest cost.

6. Tax Rate

E.l.f.'s ETR has been extremely volatile from 4% all the way to 25% due to acquisition-related tax effects and deferred tax remeasurements from Naturium. Since these are non-recurring and to avoid overstating profitability, it's normalized the forward tax rate to 23% here, matching US corporate rates.

7. Working Capital

- a. **Receivables (DSO):** DSO has been relatively stable at around 41 days with improvements in FY25 despite e.l.f. doubling its revenue over 2 years. The ability to maintain and improve receivable turnover during hypergrowth is a strong indicator of disciplined credit terms with retailers, accurate demand visibility due to real-time sell-through data, and increasing bargaining power as e.l.f. becomes a top-performing brand in mass cosmetics. When forecasting, Rhode's higher DTC mix further accelerates cash collection, because DTC sales convert to cash almost immediately. Combined with e.l.f.'s growing scale and stronger negotiating leverage with major retail partners, DSO is forecast to gradually improve from 39 days → 36 days over the explicit forecast period.
- b. **Inventories (DIO):** DIO has been volatile from 158 days to 233 days and then down to 181 days, averaging at about 190 days. These swings correspond to e.l.f.'s expansion in retail partnerships, Naturium's onboarding in FY24 with SKU expansion and international inventory staging to avoid stockouts during some viral product spikes. This shows that e.l.f. deliberately builds inventory ahead of demand during integration phases, then normalizes as forecasting matures. When forecasting, I assumed Rhode onboarding will likely repeat this pattern, that there will be an initial inventory build to support new SKUs, channel rollout and safety stock requirements.
- c. **Payable (DPO):** DPO increased sharply from 61 days to 99 days, mainly driven by large purchasing volume post-acquisition, enhanced leverage with third-party manufacturers, and consolidation of suppliers under a larger unified brand positioning. Even after moderating in FY25, DPO of 70 days still remained structurally higher than pre-2023 levels, which reflects e.l.f.'s more powerful negotiating position. As e.l.f. and Rhode form a broader portfolio with a higher purchasing scale, I expect further gradual expansion in its DOP with 80 days in FY26E, increasing modestly to 86 days by FY30.
- d. **Other Current Assets:** OCA is historically stable around 5.5 - 6% of sales, with FY25 elevated due to Naturium-related marketing prepaids. FY26 assumes a similar temporary increase due to Rhode integration and then normalizes back toward the 5.5% average as integration completes.
- e. **Other Current Liabilities:** OCL included marketing, accrued payroll, accrued fulfillment expense and promotional allowances. There are slight fluctuations in FY23-24, reflecting marjo brand-building campaigns, Naturium integration and increased incentive accruals tied to growth. Again, Rhode onboarding in FY26 is expected to result in a near-term increase, forecasted around 18.5% SG&A, followed by a gradual return to the long-term average.

8. CAPEX

Historically, CAPEX/Sales is extremely low (0.3% - 1.4%), reflecting that e.l.f.'s outsourced manufacturing model. The business requires minimal investment in production equipment or facilities, and revenue growth is driven primarily by marketing, digital infrastructure, retail visibility, R&D in formulations (low capital intensity). PP&E increases seen in FY24-25 were due partly to right-of-use assets for ritual fixtures and integration of Naturium facilities and partly to slight manufacturing expansion. When forecasting, I believe the Rhode acquisition will introduce some temporary investment needs, such as IT systems integration, warehouse/logistics harmonization, and cross-brand fulfillment capabilities. Thus, FY26 CAPEX rises modestly to about 1% of sales, and reverts back toward the historical average of 0.8%-0.9% by FY2030. This captures e.l.f.'s long-term model of high growth, strong cash conversion and low structural reinvestment requirements.

9. Capital Structure

e.l.f. historically maintained a conservative capital structure, characterized by low net leverage, high interest coverage, and limited reliance on long-term borrowings. From FY23 to FY25, long-term debt increased from \$72M to \$305M, largely to fund the Naturium acquisition, but leverage remained manageable due to strong EBITDA growth and robust operating cash flow. Despite rapid expansion, the company's asset-light model and minimal capex requirements have kept its balance sheet flexible and its free cash flow conversion high. The most significant step-up in leverage occurs in May 25 with the Rhode acquisition, financed by a \$600M Term Loan B, which brings total debt to \$854M entering at year-end 2025. Even after this increase, the company's capital structure remains within reasonable bounds relative to its profitability trajectory: interest expense historically averages 1% of sales, and total debt as a percentage of total assets has remained within the 15-25% range, indicating manageable leverage and sustained capacity to service debt.

- a. **Debt level:** In the forecasting period, I assumed there's no additional debt issuance, 1% mandatory annual amortization on the \$600M term loan (approx. \$6M per year, declining slightly with principal reduction) and a \$20M voluntary per year revolver paydown (as supported by its strong FCF generation). This results in annual repayments of ~\$26M, gradually reducing gross debt while preserving liquidity and strengthening the balance sheet. By FY30, revolver usage declines to \$156M, and term loan principal falls to \$570M, demonstrating a steady deleveraging path.
- b. **Equity:** In the forecast model, I keep equity constant aside from changes driven mechanically by net income, which flow into retained earnings. I do not model new equity issuance, buybacks, or changes in share count. e.l.f. historically did not rely on equity financing. Over the past several years, the company has operated with no equity raises, minimal share issuance, limited to employee stock compensation, and several small, opportunistic buybacks, but no recurring repurchase program. Given this history, assuming no new equity issuance during the forecast horizon is consistent with management behavior and avoids introducing speculative assumptions.

3E. Valuation

1. FCFE Valuation Approach

Using forecasted income statement, balance sheet, capex schedule and modeled debt amortization, my FCFE stream is:

Free Cash Flow to Equity - Equity Method					
	2026E	2027E	2028E	2029E	2030E
Net Income	161.88	200.96	288.04	302.20	418.21
(+) D&A	76.18	72.66	92.56	85.82	106.96
(+/-) Change in NWC	(67.11)	22.38	(82.71)	23.62	(84.13)
(-) CAPEX	(19.05)	(18.17)	(23.14)	(21.45)	(26.74)
(+) Net Borrowing (Debt Issued - Debt Repaid)	(26.00)	(25.94)	(25.88)	(25.82)	(25.76)
Free Cash Flow	125.91	251.90	248.88	364.36	388.54
PV of FCFE	114.43	208.05	186.81	248.55	240.88

This shape of cash flow is consistent with a high capex and working-capital year in FY26 due to the Rhode integration, meaningful margin and scale expansion in subsequent years, and reducing leverage, which is conservative for valuation.

Using the formula of cost of equity and the following inputs, my cost of equity is 10.03%. This cost of equity is reasonable given e.l.f.'s high growth volatility, category cyclicality, leverage post-acquisition, and strong historical returns. Morningstar equity report uses 9-10% for most mid-cap discretionary growth companies, so our assumption is aligned.

Expected market return	8%
Risk-free rate	4.088%
Levered Beta (3Y)	1.52
Market Risk Premium	3.912%
Cost of Equity	10.03%

Using the FCFE framework, the present value of FCFE streams totals roughly \$1.0 billion. Applying a 3% terminal growth rate and a 10.03% cost of equity yields a terminal equity value of approximately \$5.7 billion, which, when discounted back to present, contributes an additional \$3.5 billion. Combined, these result in a total equity value of about \$4.5 billion. Dividing this by e.l.f.'s diluted share count of 61.8 million produces an implied intrinsic value of \$73.20 per share. Relative to the current share price of \$76.17 (as of Nov 28, 2025), the FCFE valuation indicates roughly 3.9% downside, suggesting that even under a bull-case operating forecast, the stock appears fairly valued to slightly overvalued when viewed through the equity cash-flow lens.

Cost of Equity	10.03%
Growth Rate	3.00%
Sum of PV of FCF	998.72
Terminal Value	5,689.23
PV of Terminal Value	3,527.07
Equity Value	4,525.79
Implied Share Price	\$ 73.20
Premium / (Discount) to Current Share Price	-3.90%

To assess the robustness of FCFE valuation, I conducted a sensitivity analysis varying both the cost of equity and the terminal growth rate.

		Sensitivity Table				
		Growth Rate				
Cost of Equity	\$ 73.20	2.00%	2.50%	3.00%	3.50%	4.00%
	8.53%	82.04	87.78	94.56	102.69	112.61
	9.03%	75.78	80.62	86.25	92.91	100.89
	9.53%	70.36	74.48	79.22	84.76	91.30
	10.03%	65.61	69.16	73.20	77.86	83.30
	10.53%	61.43	64.50	67.98	71.95	76.53
	11.03%	57.72	60.40	63.42	66.83	70.73
	11.53%	54.40	56.76	59.39	62.35	65.71

- Best case ($K_e = 8.53\%$, $g = 4\%$): \$112.61/share
- Worst case ($K_e = 11.53\%$, $g = 2\%$): \$54.4/share

This wide range reflects the high duration and valuation sensitivity typical of hyper-growth consumer beauty brands.

2. Comparison with Morningstar's Equity Research

A comparison with Morningstar's equity research shows that my FCFE-derived value is consistent with their fair value assessment. Morningstar assigns e.l.f. Beauty a quantitative fair value estimate of \$69.91 per share, while the stock's last close was \$72.79 as of November 18, 2025, reflecting that the market was pricing the shares at a 4% premium to Morningstar's valuation. My FCFE implied price is \$73.20 and the current market price is \$76.17, at roughly a 4% downside, matching Morningstar. The small difference might come from my optimistic long-term growth assumptions (3% terminal growth vs. Morningstar's more conservative outlook) and a smoother normalization of margins post-acquisition.

Although FCFE provides useful directional insight, it **is not suitable as the primary basis for recommendation** due to e.l.f.'s **highly volatile capital structure**:

- Gross debt increased from \$72M to \$854M across FY23-25
- Frequent revolver draw/repay cycles create large swings in net borrowing
- Acquisition financing (Naturium, Rhode) makes FCFE highly sensitive to capital structure timing

As a result, FCFE overstates near-term financing noise and understates long-term intrinsic value for a company undergoing active portfolio expansion. Therefore, we explicitly do not rely on the FCFE output for our final recommendation. A capital-structure-neutral method (FCFF/WACC) provides a more reliable assessment of intrinsic value.

3. FCFF / WACC Valuation Approach

Given the capital structure volatility described above, the FCFF/WACC DCF is the appropriate primary valuation method. FCFF captures enterprise-level performance without being distorted by short-term financing flows.

FCFF is calculated by taking NOPAT and adding back non-cash items, adjusting for working capital, and subtracting capex. The resulting unlevered cash flows reflect cash generated by the enterprise before financing decisions, ensuring that valuation is not distorted by short-term leverage changes.

Free Cash Flow - WACC Method								
	MAR '23	MAR '24	MAR '25	2026E	2027E	2028E	2029E	2030E
NOPAT	65.43	138.61	122.05	179.48	216.44	308.85	322.63	445.27
(+) D&A	17.62	29.95	44.12	76.18	72.66	92.56	85.82	106.96
(+/-) Change in NWC	(5.23)	(123.75)	(105.03)	(67.11)	22.38	(82.71)	23.62	(84.13)
(-) CAPEX	(1.72)	(8.66)	(18.52)	(19.05)	(18.17)	(23.14)	(21.45)	(26.74)
Unlevered Free Cash Flow	76.10	36.15	42.62	169.51	293.32	295.57	410.61	441.36
PV of FCF				154.92	245.00	225.64	286.48	281.43

My FCFF forecasts reflect a spike in reinvestment in FY26 related to the Rhode integration, strong operating leverage beginning FY27, scale-driven expansion in EBITDA and free cash flow, declining working-capital drag as inventory stabilizes and DSO/DPO normalize. These operating dynamics yield a steadily rising FCFF stream from \$169M in 2026E to \$441M in 2030E.

I estimate e.l.f.'s WACC using market-value weights and CAPM inputs. The cost of equity is derived using a risk-free rate of 4.09%, a 3-year levered beta of 1.52 from FactSet, and a market risk premium of 3.91%, resulting in a 10.03% cost of equity. For the cost of debt, I adjust the company's historical interest rates to reflect the pricing on its new term loan facility, which carries SOFR-based spreads in the 275-325 bps range. After incorporating a 23% tax rate, this gives an after-tax cost of debt of approximately 6.0%. Using market-value capital structure weights, the WACC is 9.42%. This sits comfortably within the 8.5-10% range typically applied by the Street to high-growth beauty and consumer discretionary brands, and is appropriate given e.l.f.'s elevated beta, category cyclicity, and temporary leverage step-up following the Rhode acquisition.

CAMP & WACC	
Expected market return	8%
Risk-free rate	4.088%
Levered Beta (3Y)	1.52
Market Risk Premium	3.912%
Debt	854.05
Equity	4709.41
D/E	18.13%
Tax Rate	23%
Cost of Equity	10.03%

	MAR '23	MAR '24	MAR '25	SEP'25 LTM	
Interest Expense	3.99	11.84	17.18	18.17	
Total Debt	82.17	290.60	313.02	854.05	
Cost of Debt	4.86%	4.07%	5.49%	2.13%	Commentary
Adjusted Cost of Debt				7.8%	historical implied interest rates are around 4-5%; LTM data is distorted because ELF used 600M debt to acquire rhode based on ELF's term loan pricing (SOFR +275-325bps) and from MAR 25, add 300bps
After tax Cost of Debt				6.0%	
Total Capitalization	5563.47				
W_E	84.65%				
W_D	15.35%				
WACC	9.42%				

Discounting FCFF yields a present value of approximately \$1.19 billion. Applying a 3% terminal growth rate results in a terminal enterprise value of \$7.08 billion, which, when discounted, contributes \$4.52 billion in present value. Together, this yields an enterprise value of \$5.71 billion. After adding cash and subtracting total debt, the implied equity value is \$5.05 billion, or \$81.70 per share. Relative to the current share price of \$76.17, the FCFF valuation implies 7.3% upside, underlying a BUY recommendation.

1. Perpetuity Growth Method

WACC	9.42%
Growth Rate	3.00%
Sum of PV of FCF	1,193.48
Terminal Value	7,084.74
PV of Terminal Value	4,517.60
Enterprise Value	5,711.08
(+) Cash & Cash Equivalent	194.40
(-) Total Debt	(854.05)
(-) Preferred Stock	-
(-) Minority Interest / Noncontrolling Interests	-
(-) Operating Lease Liabilities	-
(-) Other Debt-Like Items	-
Equity Value:	5,051.43
Implied Share Price	\$ 81.70
Premium / (Discount) to Current Share Price	7.26%

Once again, a sensitivity analysis is built to verify WACC and terminal growth rate.

		Sensitivity Table				
		Growth Rate				
	\$ 81.70	2.00%	2.50%	3.00%	3.50%	4.00%
WACC	7.92%	92.71	100.93	110.81	122.93	138.14
	8.42%	84.39	91.20	99.26	108.96	120.86
	8.92%	77.32	83.03	89.71	97.63	107.15
	9.42%	71.24	76.09	81.70	88.26	96.03
	9.92%	65.96	70.13	74.89	80.40	86.84
	10.42%	61.34	64.95	69.04	73.72	79.13
	10.92%	57.28	60.42	63.96	67.98	72.57

- Best case (WACC = 7.92%, g = 4%): \$138.14/share

- Worst case (WACC = 10.92%, g = 2%): \$57.28/share

I also performed an exit multiple analysis using 2030 EBITDA of \$685M. Given the industry's long-term median EV/EBITDA of approximately 14x, the implied enterprise value is \$7.33 billion. After adjusting for cash and debt, this yields an implied equity value of \$6.67 billion, or \$107.94 per share.

2. Exit Multiple Method

WACC	9.42%
Average EV/EBITDA	36.01x
Median EV/EBITDA	14.05x
EBITDA 2030	685.23
TV	9,628.78
PV of TV	6,139.81
Sum of PV of FCF	1,193.48
Enterprise Value	7,333.29
(+) Cash & Cash Equivalent	194.4
(-) Total Debt	(854.1)
(-) Preferred Stock	-
(-) Minority Interest / Noncontrolling Interests	-
(-) Operating Lease Liabilities	-
(-) Other Debt-Like Items	-
Equity Value:	6,673.64
Implied Share Price	\$ 107.94
Premium / (Discount) to Current Share Price	41.71%

		Sensitivity Table				
		EV/EBITDA				
	\$ 107.94	10.05x	12.05x	14.05x	16.05x	18.05x
WACC	7.92%	84.73	99.88	115.02	130.16	145.31
	8.42%	82.99	97.79	112.59	127.39	142.19
	8.92%	81.30	95.76	110.23	124.69	139.15
	9.42%	79.66	93.79	107.93	122.06	136.19
	9.92%	78.06	91.87	105.69	119.50	133.32
	10.42%	76.50	90.00	103.51	117.02	130.52
	10.92%	74.98	88.19	101.39	114.59	127.80

This method gives a meaningfully higher valuation because e.l.f. consistently commands premium trading multiples (often 20-30x EBITDA), reflecting its position as one of the highest-growth, highest-margin, and most scalable brands in beauty. High-growth beauty companies justifiably trade at elevated multiples due to their brand equity, viral digital presence, and rapidly expanding DTC and international channels. The exit-multiple approach also captures the strategic upside optionality of continued global expansion, deeper skincare penetration, and future portfolio acquisitions. Given our bull-side perspective, this method appropriately reflects the full value of e.l.f.'s growth trajectory and brand momentum, and we view it as a credible upside scenario that reinforces the strength of the BUY recommendation.

4. Comparison with FactSet / Street Target Prices

Across major brokers, recent analyst targets include:

- Canaccord Genuity: \$136
- TD Cowen: \$100
- Piper Sandler: \$100
- Deutsche Bank: \$100
- Raymond James: \$135
- Jefferies: \$120
- B. Riley: \$130
- Additional restricted ratings clustered between \$121-\$137

Both Yahoo Finance and FactSet report an almost identical Street mean target of \$121.7/share, implying about 60% upside from current levels.

Against this backdrop, our FCFF/WACC base-case valuation of \$81.70 is intentionally conservative and sits well below the Street average while still indicating clear upside. When incorporating the exit-multiple approach, consistent with how analysts model high-growth beauty brands. Our upside valuation of \$107.94 moves closer to the Street's \$100-\$140 range.

Overall, the alignment between our upside scenarios and the prevailing Street targets reinforces the strength of the **BUY** recommendation and highlights that the market is undervaluing e.l.f.'s growth trajectory, brand momentum, and strategic optionality.

Financial Statement Appendix - 10K

e.l.f. Beauty, Inc.											
ELF 26856L103 BDDQ975 NYSE Common stock											
Source: FactSet Fundamentals											
	SEP '25	MAR '25	MAR '24	MAR '23	MAR '22	MAR '21	MAR '20	DEC '18	DEC '17	DEC '16	DEC '15
	LTM										
Sales	1,385.64	1,313.52	1,023.93	578.84	392.16	318.11	282.85	267.44	269.89	229.57	191.41
Cost of Goods Sold (COGS) incl. D&A	463.69	421.95	329.78	206.07	162.32	131.91	121.03	104.69	105.16	97.33	91.08
COGS excluding D&A	411.90	377.83	299.84	188.45	140.42	111.91	101.73	86.83	91.26	84.18	80.80
Depreciation & Amortization Expense	51.79	44.12	29.95	17.62	21.90	20.00	19.30	17.86	13.90	13.15	10.29
Depreciation	29.94	4.40	3.50	9.50	13.80	11.90	6.30	7.66	6.80	4.87	2.04
Amortization of Intangibles	21.85	17.42	15.05	8.12	8.10	8.10	7.00	7.10	7.10	8.28	8.25
Amortization of Deferred Charges	0.00	22.30	11.40	0.00	0.00		6.00	3.10			0.00
Gross Income	921.95	891.57	694.15	372.77	229.83	186.20	161.82	162.74	164.73	132.24	100.33
SG&A Expense	782.53	733.14	541.07	304.63	200.01	174.16	137.86	136.58	131.45	109.16	74.76
Other SG&A	782.53	733.14	541.07	304.63	200.01	174.16	137.86	136.58	131.45	109.16	74.76
EBIT (Operating Income)	139.43	158.43	153.08	68.14	29.82	12.04	23.97	26.16	33.28	23.08	25.57
Nonoperating Income - Net	0.48	4.66	6.03	0.10	-1.44	-1.62	0.43	-0.39	-2.04	3.02	-4.17
Nonoperating Interest Income	0.00	3.37	4.82	1.97	0.00	0.01	0.00	0.00	0.00	0.00	0.00
Other Income (Expense)	0.48	1.29	1.21	-1.88	-1.44	-1.62	0.43	-0.39	-2.04	3.02	-4.17
Interest Expense	18.17	17.18	11.84	3.99	2.44	4.10	6.31	7.82	8.78	13.55	12.72
Gross Interest Expense	18.17	17.18	11.84	3.99	2.44	4.10	6.31	7.82	8.78	13.55	12.72
Unusual Expense - Net	4.29	0.41	6.28	0.18	0.51	2.64	-5.98			2.74	
Impairments		0.00	2.88								
Financial Fixed Assets		0.00	2.88								
Restructuring Expense	3.60	0.40	3.40	0.00	0.05	2.64	-5.98	0.00	0.00	0.00	0.00
ExcpI Chrgs - Others		0.01	0.00	0.18	0.46					2.74	
Restructuring of Debt		0.01	0.00	0.18	0.46					2.74	
Pretax Income	117.44	145.50	140.99	64.07	25.43	3.69	24.07	17.96	22.47	9.81	8.88
Income Taxes	35.62	33.41	13.33	2.54	3.66	-2.54	6.19	2.43	-11.01	4.50	4.32
Income Taxes - Current Domestic		32.83	16.58	8.92	7.35	5.96	3.75	3.36	2.43	12.07	7.86
Income Taxes - Current Foreign		0.04	0.02	0.03	0.01	0.08	-0.01	0.01	0.00	0.00	0.39
Income Taxes - Deferred Domestic		-3.15	-2.88	-5.85	-3.88	-8.45	2.43	-1.11	-13.23	-7.61	-3.91
Income Taxes - Deferred Foreign		3.68	-0.40	-0.56	0.18	-0.13	0.01	0.17	-0.21	0.04	-0.02
Consolidated Net Income	81.82	112.09	127.66	61.53	21.77	6.23	17.88	15.53	33.48	5.31	4.36
Net Income	81.82	112.09	127.66	61.53	21.77	6.23	17.88	15.53	33.48	5.31	4.36
Preferred Dividends	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	502.85	51.97
Net Income available to Common	81.82	112.09	127.66	61.53	21.77	6.23	17.88	15.53	33.48	-497.54	-47.61
Per Share											
EPS (recurring)	1.42	1.93	2.29	1.11	0.41	0.16	0.27	0.32	0.68	-39.31	-1.04
EPS (basic)	1.45	1.99	2.33	1.17	0.43	0.13	0.37	0.33	0.74	-39.47	-1.04
Basic Shares Outstanding	58.36	56.21	54.75	52.47	50.94	49.38	48.50	46.83	45.36	12.61	45.67
Total Shares Outstanding	59.43	55.73	55.58	53.77	52.24	51.59	50.00	48.72	46.62	45.28	45.67
EPS (diluted)	1.41	1.92	2.21	1.11	0.41	0.12	0.35	0.32	0.68	-39.47	-1.04
Diluted Shares Outstanding	59.59	58.35	57.79	55.34	53.65	51.99	50.82	49.27	49.37	12.61	45.67
Total Shares Outstanding	59.43	55.73	55.58	53.77	52.24	51.59	50.00	48.72	46.62	45.28	45.67
Earnings Persistence		87.89	59.38	86.88	89.94	89.65	89.60	87.36	82.07	87.51	91.06
EBITDA											
EBITDA	191.22	202.54	183.03	85.77	51.72	32.04	43.27	44.02	47.18	36.23	35.86
EBIT	139.43	158.43	153.08	68.14	29.82	12.04	23.97	26.16	33.28	23.08	25.57
Depreciation & Amortization Expense	51.79	44.12	29.95	17.62	21.90	20.00	19.30	17.86	13.90	13.15	10.29

	MAR '25	MAR '24	MAR '23	MAR '22	MAR '21	MAR '20	DEC '18	DEC '17	DEC '16	DEC '15
Assets										
Cash & Short-Term Investments	148.69	108.18	120.78	43.35	57.77	46.17	51.21	10.06	15.30	14.00
Cash Only	148.69	108.18	120.78	43.35	57.77	46.17	51.21	10.06	15.30	14.00
Short-Term Receivables	126.01	123.80	67.93	45.57	40.19	29.72	36.72	44.63	37.83	22.48
Accounts Receivables, Net	126.01	123.80	67.93	45.57	40.19	29.72	36.72	44.63	37.83	22.48
Accounts Receivables, Gross	127.31	125.00	67.93	45.67	40.39	29.72	37.02	44.73	37.93	22.52
Bad Debt/Doubtful Accounts	-1.30	-1.20		-0.10	-0.20		-0.30	-0.10	-0.10	-0.04
Inventories	187.17	191.49	81.32	84.50	56.81	46.21	46.34	62.68	69.40	31.26
Finished Goods	187.17	191.49	81.32	84.50	56.81	46.21	46.34	62.68	69.40	31.26
Other Current Assets	78.69	53.61	33.30	19.61	15.38	10.26	7.47	6.27	2.39	2.98
Miscellaneous Current Assets	78.69	53.61	33.30	19.61	15.38	10.26	7.47	6.27	2.39	2.98
Total Current Assets	540.56	477.08	303.33	193.03	170.14	132.36	141.74	123.64	124.90	70.72
Net Property, Plant & Equipment	82.94	41.39	21.95	20.68	23.47	30.84	21.80	18.04	17.15	9.85
Property, Plant & Equipment - Gross	110.44	66.32	45.94	45.18	40.92	43.46	39.06	29.13	23.27	11.97
Machinery & Equipment										1.32
Other Property, Plant & Equipment	56.28	38.90	31.87	45.18	40.92	29.80	39.06	29.13	23.27	10.65
Operating Lease Right-of-Use Assets	54.16	27.42	14.07			13.67				
Accumulated Depreciation	27.50	24.93	24.00	24.50	17.45	12.63	17.26	11.09	6.12	2.12
Other Property, Plant & Equipment				24.50	17.45					
Total Long-Term Investments	0.00	0.00	2.88	2.88	2.88	2.88	2.88	2.88	0.00	0.00
Other Long-Term Investments	0.00	0.00	2.88	2.88	2.88	2.88	2.88	2.88	0.00	0.00
Intangible Assets	548.28	565.69	249.66	257.78	265.91	273.73	256.04	263.15	270.27	278.55
Goodwill	340.58	340.60	171.62	171.62	171.62	171.32	157.26	157.26	157.26	157.26
Other Intangible Assets	207.70	225.09	78.04	86.16	94.29	102.41	98.77	105.88	113.00	121.28
Deferred Tax Assets										0.26
Other Assets	76.39	45.09	17.80	20.27	25.00	13.30	13.40	9.54	2.41	1.69
Deferred Charges						12.10	10.90		0.00	1.20
Tangible Other Assets	76.39	45.09	17.80	20.27	25.00	1.20	2.50	9.54	2.41	0.49
Total Assets	1,248.18	1,129.25	595.60	494.63	487.39	453.10	435.86	417.24	414.73	361.07
Liabilities & Shareholders' Equity										
Current										
ST Debt & Curr. Portion LT Debt	7.62	107.32	10.09	10.18	20.57	15.65	9.86	8.65	8.65	10.33
Accounts Payable	72.18	81.08	31.43	19.23	15.70	12.39	20.48	26.78	37.94	24.83
Income Tax Payable	11.01	5.81	2.85				0.07	0.63	3.71	
Other Current Liabilities	86.25	104.90	63.61	35.61	37.06	23.08	12.60	15.31	29.97	10.70
Accrued Payroll	22.80	17.42	13.10	11.53	10.81	9.54	1.98	4.00	7.11	
Miscellaneous Current Liabilities	63.45	87.48	50.52	24.08	26.25	13.54	10.62	11.32	22.86	10.70
Total Current Liabilities	177.06	299.12	107.98	65.02	73.33	51.12	43.02	51.36	80.27	45.85
Long-Term										
Long-Term Debt	305.40	183.28	72.08	106.82	130.34	137.33	140.52	147.70	156.18	134.59
Long-Term Debt excl Lease Obligations	256.68	161.82	60.82	90.45	108.87	123.89	137.33	147.70	156.18	134.59
Capital and Operating Lease Obligations	48.72	21.46	11.26	16.38	21.47	13.44	3.20	0.00	0.00	0.00
Deferred Tax Liabilities	3.81	3.67	3.74	9.59	13.48	21.89	20.22	21.34	34.21	42.13
Other Liabilities	1.06	0.62	0.78	0.77	0.60	0.59	2.77	2.98	3.21	1.60
Other Liabilities (excl. Deferred Income)	1.06	0.62	0.78	0.77	0.60	0.59	2.77	2.98	3.21	1.60
Total Liabilities	487.32	486.68	184.58	182.20	217.75	210.93	206.53	223.38	273.87	224.18
Equity										
Preferred Stock (Carrying Value)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	197.3
Redeemable Preferred Stock	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	197.3
Common Equity	760.9	642.6	411.0	312.4	269.6	242.2	229.3	193.9	140.9	-60.4
Common Stock Par/Carry Value	0.6	0.6	0.5	0.5	0.5	0.5	0.5	0.5	0.4	0.0
Additional Paid-In Capital/Capital Surplus	942.0	936.4	832.5	795.4	774.4	753.2	740.4	720.4	700.9	6.8
Retained Earnings	-182.2	-294.3	-422.0	-483.5	-505.3	-511.5	-511.5	-527.0	-560.4	-67.2
Cumulative Translation Adjustment/Unrealized For. Exch. Gain	0.5	-0.1								
Total Shareholders' Equity	760.9	642.6	411.0	312.4	269.6	242.2	229.3	193.9	140.9	136.9
Total Equity	760.9	642.6	411.0	312.4	269.6	242.2	229.3	193.9	140.9	136.9
Total Liabilities & Shareholders' Equity	1,248.2	1,129.2	595.6	494.6	487.4	453.1	435.9	417.2	414.7	361.1
Per Share										
Book Value per Share	13.85	11.56	7.64	5.98	5.23	4.84	4.71	4.16	3.11	-1.32
Tangible Book Value per Share	3.81	1.38	3.00	1.05	0.07	-0.63	-0.55	-1.49	-2.86	-7.42

ELF 26856L103 BDDQ975 NYSE Common stock											
Source: FactSet Fundamentals											
	SEP '25	MAR '25	MAR '24	MAR '23	MAR '22	MAR '21	MAR '20	DEC '18	DEC '17	DEC '16	DEC '15
	LTM										
Operating Activities											
Net Income / Starting Line	81.82	112.09	127.66	61.53	21.77	6.23	17.88	15.53	33.48	5.31	4.36
Depreciation, Depletion & Amortization	51.79	44.12	35.91	22.16	27.08	25.18	22.84	17.86	14.52	13.15	10.29
Depreciation and Depletion	7.58	4.40						7.66	7.42	4.87	2.04
Amortization of Intangible Assets	44.22	39.72						10.20	7.10	8.28	8.25
Deferred Taxes & Investment Tax Credit	17.84	0.45	-3.28	-6.40	-3.70	-8.58	2.44	-0.94	-13.43	-7.58	-3.93
Deferred Taxes	17.84	0.45	-3.28	-6.40	-3.70	-8.58	2.44	-0.94	-13.43	-7.58	-3.93
Other Funds	48.65	82.22	34.61	29.82	21.05	23.55	11.13	18.09	16.01	0.71	7.40
Funds from Operations	200.10	238.87	194.91	107.11	66.20	46.38	54.30	50.54	50.57	11.60	18.11
Changes in Working Capital	-28.06	-105.03	-123.75	-5.23	-46.69	-16.91	-9.98	5.05	-38.20	-9.48	6.41
Receivables	21.44	-2.74	-49.60	-22.43	-5.60	-10.53	2.50	7.65	-8.00	-15.39	4.45
Inventories	30.73	4.87	-93.93	3.17	-27.66	-10.94	-0.44	16.34	6.72	-37.99	-2.15
Accounts Payable	-4.23	-23.40	81.22	43.00	1.50	17.47	5.96	-10.25	-25.48	43.14	3.53
Other Assets/Liabilities	-76.01	-83.77	-61.44	-28.97	-14.93	-12.91	-18.01	-8.69	-11.43	0.76	0.58
Net Operating Cash Flow	172.04	133.84	71.15	101.88	19.51	29.48	44.31	55.58	12.38	2.12	24.52
Investing Activities											
Capital Expenditures	-30.06	-18.52	-8.66	-1.72	-4.82	-6.47	-9.42	-8.87	-7.54	-9.22	-10.24
Capital Expenditures (Fixed Assets)	-30.06	-18.52	-8.66	-1.72	-4.82	-6.47	-9.42	-8.87	-7.54	-9.22	-10.14
Capital Expenditures (Other Assets)	0.00	0.00	0.00	0.00	0.00	0.00	0.00		0.00	0.00	-0.10
Net Assets from Acquisitions	-580.60	0.00	-274.97	0.00	0.00	0.00	-25.92	0.00		0.00	0.00
Sale of Fixed Assets & Businesses	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.08	0.00
Purchase/Sale of Investments	-0.58	-0.58	-1.03	0.00	0.00	0.00	0.00	0.00	-2.88	0.00	0.00
Purchase of Investments	0.58	0.58	1.03	0.00	0.00	0.00	0.00	0.00	2.88		
Other Funds	-0.37	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
Other Uses	-0.37	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
Net Investing Cash Flow	-611.61	-19.10	-284.66	-1.72	-4.82	-6.47	-35.35	-8.87	-10.42	-9.14	-10.24
Financing Activities											
Cash Dividends Paid	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	-68.00	0.00
Common Dividends	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	-68.00	0.00
Change in Capital Stock	-47.80	-66.11	5.56	8.05	1.68	1.50	-6.42	3.18	1.98	56.25	-0.37
Repurchase of Common & Preferred Stk.	-49.99	-67.06	0.00	0.00	0.00	0.00	-7.90	0.00	0.00	0.00	0.00
Sale of Common & Preferred Stock	2.19	0.95	5.56	8.05	1.68	1.50	1.49	3.18	1.98	56.25	-0.37
Proceeds from Sale of Stock	2.19	0.95	5.56	8.05	1.68	1.50	1.49	3.18	1.98	56.25	-0.37
Issuance/Reduction of Debt, Net	590.20	-8.28	195.96	-30.00	-30.01	-12.09	-9.49	-8.25	-8.77	12.81	-4.58
Change in Long-Term Debt	590.20	-8.28	195.96	-30.00	-30.01	-12.09	-9.49	-8.25	-8.77	12.81	-4.58
Issuance of Long-Term Debt	897.70	254.59	203.84	0.00	51.00	19.67	0.00	2.00	25.38	177.55	27.15
Reduction in Long-Term Debt	-307.50	-262.88	-7.88	-30.00	-81.01	-31.76	-9.49	-10.25	-34.15	-164.74	-31.73
Other Funds	0.00	-0.06	-0.58	-0.79	-0.78	-0.81	-0.77	-0.49	-0.40	7.26	0.00
Other Uses	0.00	-0.06	-0.58	-0.79	-0.78	-0.81	-0.77	-0.49	-0.40	-0.66	0.00
Other Sources	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	7.91	0.00
Net Financing Cash Flow	542.41	-74.45	200.95	-22.74	-29.11	-11.40	-16.68	-5.56	-7.20	8.31	-4.94
All Activities											
Exchange Rate Effect	-0.21	0.22	-0.03								
Net Change in Cash	102.64	40.51	-12.60	77.43	-14.42	11.60	-7.71	41.15	-5.24	1.29	9.34
Free Cash Flow	141.98	115.32	62.50	100.16	14.70	23.00	34.89	46.71	4.83	-7.10	14.38
Free Cash Flow per Share	2.38	1.98	1.08	1.81	0.27	0.44	0.69	0.95	0.10	-0.56	0.31
Free Cash Flow Yield (%)	1.80	3.15	0.55	2.20	1.06	1.65	6.98	10.95	0.44	-1.95	

Key Forecasting Assumptions

Income Statement Metric											
	MAR '23	MAR '24	MAR '25	Average	2026E	2027E	2028E	2029E	2030E		
Sales Growth	47.61%	76.89%	28.28%	50.93%	45.00%	38.00%	35.00%	32.00%	30.00%		
COGS (excl. D&A) / Sales	32.56%	29.28%	28.76%	30.20%	30.00%	29.00%	28.80%	28.50%	28.50%		
D&A / Sales	3.04%	2.92%	3.36%	3.11%	4.00%	3.80%	3.60%	3.40%	3.20%		
SG&A / Sales	52.63%	52.84%	55.82%	53.76%	53.76%	52.50%	52.00%	51.50%	51.00%		
Interest Expense / Sales	0.69%	1.16%	1.31%	1.05%	1.20%	1.05%	1.05%	1.05%	1.05%		
Effective Tax Rate	3.97%	9.45%	22.96%	12.13%	23.00%	23.00%	23.00%	23.00%	23.00%		

Working Capital Metric											
	MAR '23	MAR '24	MAR '25	Average	2026E	2027E	2028E	2029E	2030E		
Days Sales Outstanding	42.83	44.13	35.02	40.66	39.00	38.00	38.00	37.00	36.00		
Days Inventory Outstanding	157.51	233.11	180.81	190.48	190.00	180.00	175.00	170.00	165.00		
Other Current Assets / Sales	5.75%	5.24%	5.99%	5.66%	6.00%	5.80%	5.70%	5.60%	5.50%		
Days Payable Outstanding	60.87	98.70	69.73	76.43	80.00	82.00	84.00	85.00	86.00		
Other Current Liabilities / SG&A	20.88%	19.39%	11.76%	17.34%	18.50%	18.00%	17.80%	17.50%	17.50%		

CAPEX Metric											
	MAR '23	MAR '24	MAR '25	Average	2026E	2027E	2028E	2029E	2030E		
CAPEX / Sales	0.30%	0.85%	1.41%	0.85%	1%	0.95%	0.90%	0.85%	0.80%		

Debt Structure Metrics							
	Sep 25' Revolver	Sep 25' Term Loan	2026E	2027E	2028E	2029E	2030E
Term Loan Amortization (1%)		600.00	6.00	5.94	5.88	5.82	5.76
Revolver Paydown (assume \$20M each year)	256.05		20.00	20.00	20.00	20.00	20.00

Pro Forma Financials

Income Statement Forecast									
	MAR '23	MAR '24	MAR '25	SEP '25 LTM	2026E	2027E	2028E	2029E	2030E
Sales	578.84	1,023.93	1,313.52	1,385.64	1,904.60	1,912.18	2,571.22	2,524.08	3,342.58
Cost of Goods Sold (COGS) incl. D&A	206.07	329.78	421.95	463.69	647.57	627.20	833.07	805.18	1,059.60
COGS excluding D&A	188.45	299.84	377.83	411.90	571.38	554.53	740.51	719.36	952.64
Depreciation & Amortization Expense	17.62	29.95	44.12	51.79	76.18	72.66	92.56	85.82	106.96
Depreciation	9.50	3.50	4.40	29.94					
Amortization of Intangibles	8.12	15.05	17.42	21.85					
Amortization of Deferred Charges	0.00	11.40	22.30	0.00					
Gross Income	372.77	694.15	891.57	921.95	1,257.04	1,284.99	1,738.14	1,718.90	2,282.98
Gross Margin	64.40%	67.79%	67.88%	66.54%	66.00%	67.20%	67.60%	68.10%	68.30%
SG&A Expense	304.63	541.07	733.14	782.53	1,023.95	1,003.90	1,337.03	1,299.90	1,704.72
Other SG&A	304.63	541.07	733.14	782.53					
EBIT (Operating Income)	68.14	153.08	158.43	139.43	233.09	281.09	401.11	419.00	578.27
Nonoperating Income - Net	0.10	6.03	4.66	0.48	-	-	-	-	-
Nonoperating Interest Income	1.97	4.82	3.37	0.00	-	-	-	-	-
Other Income (Expense)	-1.88	1.21	1.29	0.48	-	-	-	-	-
Interest Expense	3.99	11.84	17.18	18.17	22.86	20.10	27.03	26.53	35.14
Gross Interest Expense	3.99	11.84	17.18	18.17					
Unusual Expense - Net	0.18	6.28	0.41	4.29	-	-	-	-	-
Impairments		2.88	0.00		-	-	-	-	-
Financial Fixed Assets		2.88	0.00		-	-	-	-	-
Restructuring Expense	0.00	3.40	0.40	3.60	-	-	-	-	-
Exclpl Chrgs - Others	0.18	0.00	0.01		-	-	-	-	-
Restructuring of Debt	0.18	0.00	0.01		-	-	-	-	-
Pretax Income	64.07	140.99	145.50	117.44	210.23	260.99	374.08	392.46	543.13
Income Taxes	2.54	13.33	33.41	35.62	48.35	60.03	86.04	90.27	124.92
Income Taxes - Current Domestic	8.92	16.58	32.83						
Income Taxes - Current Foreign	0.03	0.02	0.04						
Income Taxes - Deferred Domestic	-5.85	-2.88	-3.15						
Income Taxes - Deferred Foreign	-0.55	-0.40	3.68						
Consolidated Net Income	61.53	127.66	112.09	81.82					
Net Income	61.53	127.66	112.09	81.82	161.88	200.96	288.04	302.20	418.21

Working Capital Forecast									
	MAR '23	MAR '24	MAR '25		2026E	2027E	2028E	2029E	2030E
Receivables	67.93	123.80	126.01		203.51	199.08	267.69	255.87	329.68
Inventories	81.32	191.49	187.17		297.43	273.47	355.04	335.05	430.64
Other Current Assets	33.30	53.61	78.69		114.28	110.91	146.56	141.35	183.84
Accounts Payable	31.43	81.08	72.18		125.23	124.58	170.42	167.52	224.46
Other Current Liabilities	63.61	104.90	86.25		189.43	180.70	237.99	227.48	298.33
Increase / (decrease) in AR					77.50	(4.43)	68.61	(11.82)	73.81
Increase / (decrease) in Inventories					110.26	(23.96)	81.57	(19.99)	95.60
Increase / (decrease) in Other Current Assets					35.59	(3.37)	35.65	(5.21)	42.49
(Increase) / decrease in AP					(53.05)	0.65	(45.84)	2.90	(56.93)
(increase) / decrease in Other Current Liabilities					(103.18)	8.73	(57.29)	10.51	(70.84)
Change in NWC					67.11	(22.38)	82.71	(23.62)	84.13

Debt Structure Forecast									
	MAR '23	MAR '24	MAR '25		2026E	2027E	2028E	2029E	2030E
Total Repayments					26.00	25.94	25.88	25.82	25.76